

Atchíson

May 2025



Tactical Asset Allocation Outlook

Q2 2025

Illuminating
the way forward





Tactical Asset Allocation

Tactical asset allocation (TAA) is an investment style in which three primary asset classes (shares, bonds, and cash) are actively balanced and adjusted based on market performance to meet stated risk tolerance and investment objectives.

The focus is on asset classes rather than specific assets themselves. The strategy integrates and enhances passive buy-and-hold methods with medium term views on market dislocations and valuation opportunities.

This report should be read in conjunction with our most recent Investment Outlook, incorporating updated capital market assumptions (CMA) which projects the returns of asset classes over a ten-year horizon. These serve as key inputs into our strategic asset allocation (SAA) model and can also be termed as neutral asset allocation positions.

Refer to Table 1 for Summary TAA positions – Q2 2025. The recommendations shown in the summary are Atchison's conviction away from an SAA, therefore should not be interpreted as a recommended percentage change.

Introduction

As we enter the second quarter of 2025, financial markets remain defined by a mix of resilience and uncertainty. The global economy has avoided the recession many predicted in 2024, with the United States leading the recovery charge. The return of Donald Trump to presidency has reignited investor risk appetite, and introduced new complexities to global trade dynamics. The anticipated Chinese tariff threats prompted concerns about inflationary pressures and supply chain disruption.

Gold, traditionally a haven during periods of uncertainty, has responded accordingly, reaching record highs. This reflects both geopolitical tension and sustained central bank demand.

In equity markets, the S&P 500 continued to climb; due to investor optimism around AI-driven productivity gains and anticipated deregulation under the Trump administration. Despite this, valuations remain stretched, with forward P/E ratios exceeding 21x in key sectors such as technology and consumer discretionary. Europe and China continue to lag, with the Eurozone navigating a period of low growth, and China facing persistent deflationary pressure.

In Australia, the domestic economy is beginning to show signs of fatigue, with consumer spending constrained by elevated mortgage repayments and weak real-wage growth. This was illustrated by the ASX 200 falling 6.71% from its February record highs, at the end of March 2025. The RBA is expected to begin cutting interest rates this month, while economic activity remains subdued with building permits, retail sales MoM, and business confidence all declining as unemployment ticked higher from 4.0 to 4.1%.

Globally, the IMF projects 3.3% growth for 2025 - steady on prior forecasts, but this marks significant variation across regions. US GDP is expected to expand by 2.7%, compared with just 1.0% in the Eurozone. China's recent export surge masks a fragile domestic picture, weighed down by property sector discomfort and deflationary pressure.

Against this backdrop, our tactical asset allocation remains anchored in discipline and selectivity. Elevated asset valuations, geopolitical flashpoints, and a late-cycle monetary environment, encourage focus on quality, diversification, and downside protection as we navigate 2025.

Key take-outs

- The global economy remains resilient, with the IMF forecasting 3.3% growth for 2025; India leads at 6.5%, followed by China, US, and Europe.
- Inflation continues to moderate globally, supporting expectations of rate cuts later in 2025; the RBA is likely to move ahead of the Federal Reserve.
- US equities remain supported by earnings strength, AI-driven investment, and pro-growth policy momentum under Trump administration.
- Japanese equities benefit from corporate reform, governance improvements, and currency tailwinds, while European sentiment improves modestly.
- Australian equities appear fully valued, with limited catalysts amid weak domestic growth, earnings fatigue in banks, and commodity headwinds.
- Alternatives continue to add diversification, particularly private equity, gold, and currency alpha, amid lingering geopolitical risks.
- The AUD expected to weaken, favouring unhedged global exposures across equity allocations.

What to watch out for?

- **Trade:** US policy, where tariff shocks will impact global growth.
- **Geopolitics and fiscal policy:** Geopolitical uncertainty mounts, need to watch fiscal policy, particularly defence spending in Europe.
- **Consumer sentiment:** Currently consumer sentiment remains mixed.
- **Equity-bond correlations:** down from previous elevated levels, but risk they may return to a positive regime.

Summary of our Q2 2025 TAA

1. Maintain overweight position to International equities – supported by US and Japan strength, resilient earnings, and structural growth drivers.
2. Increase Australian equities exposure to neutral – encouraged by anticipated rate cuts.
3. Maintain overweight position to Japanese equities – ongoing corporate reform and currency tailwinds support earnings momentum.
4. Upgrade European equities to neutral – benefitting from ECB easing cycle, European banks trading at discounts relative to peer countries, noteworthy delta in P/E multiples in defence names, strong asset quality.
5. Maintain neutral position to emerging markets – preference for EM ex-China exposure, supported by momentum in India, Vietnam, and Brazil.
6. Increase marginal exposure to duration - capitalising on anticipated rate cuts in both Australia and the US.
7. Underweight floating rate – high yield and bank hybrids.
8. Increase exposure to alternatives – selective preference for private equity, gold, and currency alpha strategies.
9. Maintain underweight position to real assets – cautious on listed infrastructure amid moderating inflation.
10. Maintain a bias towards unhedged International currency exposure – with the AUD likely to weaken as the RBA moves ahead of global peers in rate cuts.





Australian Shares



We retain a neutral stance on Australian equities, reflecting a mix of supportive price action and deteriorating economic fundamentals.

The ASX 200 reached new highs in Q1, largely driven by strong bank earnings and elevated gold prices. This performance masks concentration risk, as gains have been led by a few sectors, while broader earnings revisions remain flat. Financials have benefited from low impairments and robust margins, but with the RBA expected to begin cutting rates in Q2 2025, margin compression is likely to weigh on forward earnings.

Resources are facing persistent headwinds, especially iron ore, as demand from China remains inconsistent amid its property market malaise. Although gold miners - like Northern Star and Evolution - have rallied on the back of record-high bullion prices; this has not been enough to offset weakness in bulk commodities. We remain cautious on Australian technology such as WiseTech Global and NextDC – as stretched valuations raise concerns about durability in the absence of stronger earnings delivery.

Domestically, the macro backdrop remains fragile. Real wage growth is muted, mortgage servicing costs remain high, and consumer confidence is subdued. Business investment is soft, especially in housing and retail-related sectors.

While monetary easing may offer some support later in the year, we see limited near-term catalysts to drive sustained outperformance. We maintain selective and balanced exposure; favouring high-quality, defensive franchises over cyclical or highly valued growth segments.



International Shares

We maintain an overweight position in international equities, driven by resilient earnings growth in the US and Japan, attractive structural trends such as AI adoption and governance reform, and by improving relative valuations in select regions.

While US large-cap valuations remain elevated, strong profitability and balance sheet strength offer support. Japan continues to benefit from shareholder-focused reforms and yen weakness, while Europe sees improving sentiment amid expected rate cuts.

Given the likelihood of AUD depreciation we maintain a quality style bias, and favour unhedged positions, as the RBA moves ahead of global peers in easing policy.

United States shares

Despite the trade policy backdrop and steep correction, the US remains the highest quality equity market in terms of Return on Equity (ROE) and innovation. It also remains the most shareholder-friendly and enjoys the least regulatory burden.

Mid-cap stocks remain attractive due to relative valuation and greater exposure to domestic growth. The proposed Trump-era tax reforms and deregulation agenda are expected to further lift business sentiment. While valuations in large-cap tech remain elevated, strong balance sheets and high return on invested capital provide justification in a low-growth global backdrop.

Japanese shares

A pro-reform agenda, higher shareholder returns, and robust earnings growth have driven Japanese equities to multi-decade highs. Yen weakness further supports exporters, while corporate governance reforms continue to unlock shareholder value.

The Tokyo Stock Exchange's pressure on listed companies to improve capital efficiency is accelerating buybacks and structural change. Additionally, inbound tourism has rebounded strongly, supporting consumer-linked sectors and boosting services GDP.

European shares

European shares have been increased to neutral. While macro growth remains tepid, falling inflation and an imminent ECB easing cycle support equities.

German manufacturing is stabilising and corporate margins are recovering, despite falling over the longer term; recovering in sectors like luxury goods and industrial automation.

Regulatory burdens and underinvestment in technology remain longer-term headwinds. Selective exposure to high-quality multinational exporters and defensive consumer names remains warranted.

Emerging markets

We remain neutral. India and Brazil offer bottom-up strength, but global trade fragmentation and a stronger USD weigh on sentiment. Political uncertainty in Latin America and persistent inflation challenges in Turkey and South Africa contribute to a more measured global outlook. Emerging Markets (EM) central banks are ahead of the curve on rate cuts, which could support domestic demand. Structural reform and infrastructure investment in select countries offer a medium-term re-rating opportunity.

Asia ex-China

Vietnam, India, and Indonesia benefit from supply chain realignment, tech reshoring, and favourable demographics. Rising foreign direct investment and government incentives are boosting manufacturing capacity and employment.

India's semiconductor push, supported by tax incentives and strategic alliances, positions it well for tech export growth. Meanwhile, the Association of Southeast Asian Nations (ASEAN) markets are seeing increased investor attention as more predictable policy settings and regional trade deals take hold.

Chinese shares

Given the economy's persistent structural challenges and fragile domestic recovery, we remain cautious on China. While GDP growth was at 4.8% 2024, the momentum was largely export-driven, with front-loaded shipments ahead of potential US tariff hikes. The housing sector remains in a prolonged downturn, undermining household wealth and confidence, while private investment continues to lag despite targeted fiscal and monetary support. Inflation is subdued, highlighting weak domestic demand, and youth unemployment remains elevated.

Geopolitical headwinds have intensified with the prospect of renewed US tariffs under the Trump administration, further pressuring manufacturing and foreign investment sentiment. Although key companies like BYD and Alibaba maintain relevance, the broader market faces overcapacity, regulatory overhang, and low investor engagement. With more compelling structural stories elsewhere in Asia and emerging markets, we prefer EM ex-China exposure and remain underweight China in our tactical positioning.

Currency

We continue to favour a bias towards unhedged international exposures, as the Australian dollar is likely to remain under pressure through 2025. With the RBA expected to begin cutting rates in Q2 - potentially ahead of the US Federal Reserve (Fed) - interest rate differentials are set to widen. This divergence has historically correlated with AUD weakness, particularly against the USD and JPY. As of March 2025, the AUD/USD has already slipped to 0.62, reflecting softer domestic data and signals of easing from the central bank.

Globally, the USD has regained strength on the back of resilient US economic growth, safe-haven demand, and delayed rate cut expectations. The prospect of renewed tariffs under the Trump administration has also amplified uncertainty for export-dependent economies, contributing to broad-based currency volatility. The EUR and GBP remain under pressure from weaker growth and dovish central bank signalling, while the CNY continues to trade defensively amid concerns over China's structural imbalances.

Given these dynamics, currency remains a secondary but influential factor in portfolio construction. We see value in maintaining unhedged positions in international equities, allowing investors to benefit from potential AUD depreciation and global monetary divergence.

Tactical hedging may be appropriate in select cases, but strategic currency exposure can still play a role in portfolio construction.



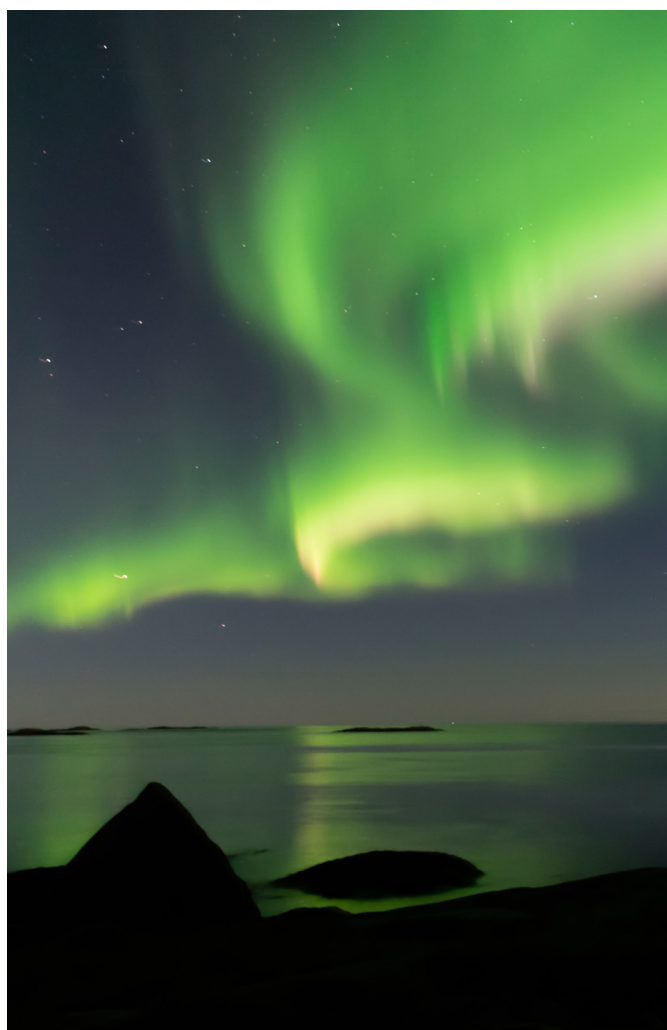
Alternatives

We maintain a constructive view on alternatives, recognising their role in enhancing diversification and managing tail risk in portfolios, particularly as traditional stock-bond correlations remain slightly positive. Acknowledging that the near-term cash hurdle is a tough bar to beat.

Private equity remains supported by high levels of dry powder, and pivots toward operational value creation.

Gold has continued to perform strongly, reaching record highs amid geopolitical uncertainty, a weaker USD outlook, and sustained central bank buying. It remains a key hedge against macro risk, currency debasement, and inflation volatility.

Risk mitigation strategies are well-positioned to benefit from rising cross-asset dispersion and policy divergence across regions. In our view, alternatives remain a core allocation providing bursts of alpha and uncorrelated returns.





Real Assets



We retain a modest underweight position in real assets, taking a cautious approach as fundamentals soften across listed infrastructure and property markets. While demand for inflation protection persists in some quarters, the combination of easing inflation and tighter financial conditions has eroded the return profile across the asset class.

Listed global infrastructure - both hedged and unhedged - continues to lag behind broader equities, with rising capital expenditure costs and regulatory complexity weighing on sentiment. Australian listed property (AREITs) have found a degree of price stability, though returns remain capped by sluggish rental growth and elevated interest expenses.

Within offshore markets, US and European infrastructure exposures face persistent challenges. Project pipelines are slowing, funding costs are higher, and there is growing political resistance to utility tariff increases and green energy subsidies - all of which increase headline risk and pressure earnings visibility.

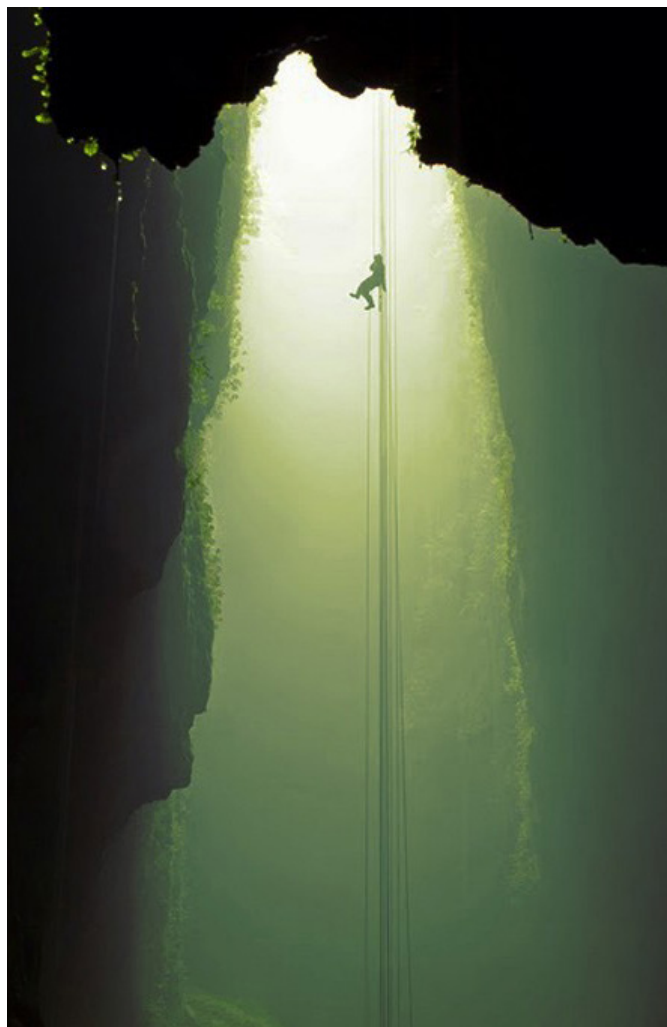
Duration

Australian duration is our highest conviction within this “bucket”, where falling inflation, weak domestic demand, and anticipated RBA rate cuts support capital appreciation potential.

US duration has been increased to neutral, reflecting competing forces. While disinflation is progressing, the Fed is likely to delay cuts until later in 2025, as growth remains robust, and labour markets remain tight. Fiscal deficits and Treasury issuance volumes may also pressure long-end yields.

We remain underweight to Japanese bonds, as yield curve control policies are gradually being unwound, and the Bank of Japan has signalled tolerance for higher yields. In Europe, we remain neutral, with the ECB expected to ease in Q3 amid subdued growth.

Yield curves have started to re-steepen, but long-end yields remain volatile and sensitive to macro data surprises. We favour positioning in the 2–5-year segment across developed markets; balancing income generation with lower interest rate sensitivity. While not yet a strong capital gain story, fixed income remains an important portfolio anchor, and opportunities in duration should increase as rate cuts begin to materialise later in the year.



Floating Rate



In Q2 2025, we have reduced our overall exposure to floating rate bonds, with a particular pullback in the high yield segment. While default rates remain relatively benign, spreads have compressed to levels that no longer compensate for the asymmetric downside risk, especially given the market's increasing share of lower-rated issuers. Liquidity risks in these instruments could quickly materialise in a risk-off environment, further justifying a more cautious stance.

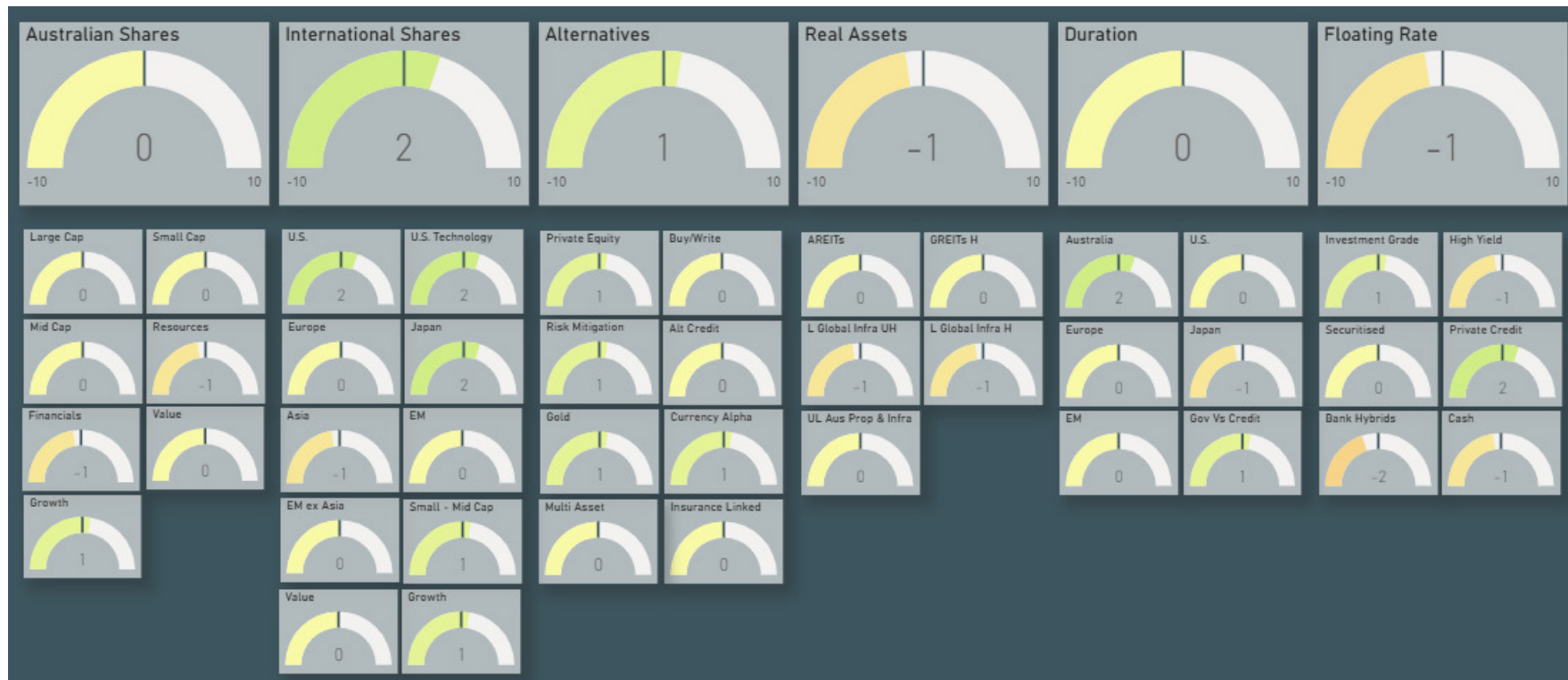
Similarly, we remain wary of bank hybrids, where the yield pickup appears insufficient relative to their equity-like risk profile and limited structural protection.

Conversely, investment grade credit continues to be a core allocation, supported by resilient balance sheets, limited refinancing requirements, and low default risk. While spreads remain tight, particularly in the US, they are largely justified by strong issuer fundamentals and low net leverage.

Table 1:

Summary TAA Positions – Q2 2025

12 Month Relative Value Summary - Q2 2025



12 Month Relative Summary (Q2 2025). Refer to **Table 1 for Summary TAA positions – Q2 2025**. The recommendations shown in the summary are Atchison's conviction away from the SAA, therefore should not be interpreted as a recommended percentage change.

Important information

This document is issued by TAG Asset Consulting Group Pty Ltd Trading As Atchison Consultants (Atchison) ABN 58 097 703 047, AFSL 230 846.

This document is intended as general information only for “wholesale clients” in Australia. It must not be copied, in part or in whole, or distributed to any other person. If you are not the intended recipient, you must not use or disclose this information in any way. This research is not intended as an offer or solicitation for the purchase or sale of any financial instrument. In preparing this research, we did not consider the investment objectives, financial situation, and particular needs of the reader. Before making an investment decision on the basis of this research, the investor or prospective investor should consider seeking independent legal, taxation, financial or other relevant professional advice. This document may include general commentary on market activity, sector trends or other broad-based economic or political conditions that should not be taken as investment advice. Information stated about specific securities may change. Any reference to specific securities, options, projections or estimates in this document may be based on current market conditions, beliefs, expectations, assumptions, interpretations, circumstances and contingencies which can change without notice, and may not be correct. Any forward-looking statements are provided as a general guide only and there can be no assurance that actual results or outcomes will not be unfavourable, worse than or materially different to those indicated by these forward-looking statements. Any graphs, examples or case studies included are for illustrative purposes only and may be specific to the context and circumstances and based on specific factual and other assumptions. While the information contained in this document has been prepared with reasonable care, to the maximum extent, no responsibility or liability is accepted for any errors or omission or misstatements however caused. Past performance information provided in this document is not reliable indicator of future performance.

Atchison

**Atchison**

Level 4, 125 Flinders Lane,
Melbourne Vic 3000

P: +61 (0) 3 9642 3835
enquiries@atchison.com.au
www.atchison.com.au

ABN: 58 097 703 047
AFSL Number: 230846

To obtain further information,
please contact:

Jake Jodlowski

Principal
Phone: +61 3 9642 3835
Email: jake@atchison.com.au

Kev Toohey

Principal
Phone: +61 413 770 710
Email: kev@atchison.com.au

Mishan Dahia

Investment Analyst
Phone: +61 3 9642 3835
Email: mishan@atchison.com.au